

traded only with gold and silver coins, there were no monetary breakdowns, no hyperinflations, and no financial crises.

As the twentieth century progressed, more and more people gave up agriculture, moved to cities, and took part in other industries. Today, cities may have millions of residents—like Bombay with 14 million or Sao Paulo with 20 million, or Mexico City with even more. All of these people are dependent on vast, stretched lines of communication and commerce.

Even the farmers themselves are now dependent on these sophisticated networks of commerce. They depend on money and what it will buy. Agriculture has become monocultural. That is, a farmer is likely to produce only wheat. Or only rapeseed. Or only barley. Or only cattle. Gone are the chickens around the farmhouse and the pig in the back pen. If the system of transport and trade breaks down—or if the money itself goes bad—thousands of farmers could go hungry, too.

There are black swans all over the place, waiting to be discovered. And when a black swan appears, people in the cities seem to suffer most.

In the hyperinflation in Germany in 1923, for example, farmers had so much food they ran out of storage space. But they wouldn't sell it to city slickers. The mark was losing value so fast, farmers preferred to hold their crops off the market, knowing that the price was soaring and that if they sold, the money they got would soon be worthless.

People in the cities, meanwhile, were starving. Soon, gangs roved the countryside, raiding rural barns and houses and occasionally killing farmers who tried to resist.

Plagues hit city dwellers hard, too. Proximity seems to be a curse when an infectious disease appears.

And, of course, in time of war and revolution, cities tend to be the battlegrounds. Advancing armies are rarely polite. Even if they are advancing through the countryside, they are usually advancing toward cities, which they attack. In the old days, cities were besieged, starved out, and then, when they were taken, the attacking soldiers were given three days in which to sack the cities. In other words, they had three days to commit whatever mischief and mayhem their imaginations suggested.

When bad stuff happens, progress goes into reverse, and so does the division of labor. When an economy goes backward, much of the